

whatever fits in your car—trim paint, hinges, grout. And make sure you hire someone who's okay with your doing some of the shopping. Many contractors don't like it because they make a good chunk of money staying on the clock as long as possible.

4. **Apply for the proper permits.** You think it's nobody's business that you're putting a kitchen in your basement so that you can earn a little income renting it out? Think again. Licensing and permitting are a city's way of earning a steady stream of revenue. Also, in the event of a fire or a mishap, illegal renovations might render your insurance claim null and void. So you may be wasting money insuring your home if you have an illegal basement apartment. Just make sure, if you open a permit, that the work is completed and an inspector signs off on it. There's nothing worse than trying to sell a home with an open permit. Before you can close the sale, you must complete the scope of the work outlined in the original permit, which could mean thousands of dollars in unexpected costs. If you don't want to complete that work, have the drawings redone, then refile for a new permit.
5. **Pick your rooms.** It's nice to have a walk-in closet, skylights, and a gym in the basement, but for a guaranteed return on your renovation investment, the only certainties are an updated kitchen and a sparkling bathroom. The other big draw is a family room on the main floor, and a bathroom off the master bedroom. Anything else on your wish list should wait or be axed. This is how people get into financial trouble—by over-renovating and committing to projects that don't add value to the home, but add only debt.
6. **Buy smarter.** When it comes to building materials, your contractor should enjoy a discount of as much as 20 percent from affiliated stores off the prices of all materials. But where possible, skip retail altogether. Look for leftover or discontinued stock for items like sinks and flooring. Attend auctions, and